

take more than 35 percent of the action," my source said. (In the auction I'd witnessed, 35 percent would have been a mere \$4 billion).

"Can anybody bid?" I asked.

"Anybody with a ten-thousand-dollar check. Even you could put in a bid if you wanted to."

That any idiot can walk into the Fed and compete with Salomon Brothers in the bond auctions is a wonderful feature of our financial democracy. In practice, my guide said, the average investor rarely bids against the big houses. Average investors can order their Treasury bills at the small-fry window on the other side of the building, where they're guaranteed the median interest rate that comes out of the next ballot box. It's called the noncompetitive bid. That's what you get when you buy T-bills or T-bonds at a local Federal Reserve branch or through your stockbroker.

The T-bill and T-bond auctions occur as frequently as the government spends money it does not have, which lately is very frequent. In fact, most of our multi-trillion-dollar federal debt is owed to the holders of these bills and bonds. As to the quaint way the business is transacted, perhaps you're as amazed as I was. Our entire government is supported by these old-fashioned ballot boxes, and these weekly auctions set the interest rates that affect all the other interest rates throughout the economy.

"While you're here, you should take the rest of the tour," said my guide. "You seen the gold?"

According to him, we were standing on the largest single deposit of gold in the world. I'd have guessed the biggest deposit was probably in South Africa, or maybe at Fort Knox, but actually it sits on bedrock of Manhattan Island, fifty feet below sea level, in the basement of the New York Fed.

A tour had formed in the lobby, and I was allowed to join it. We were herded past security, taken down the elevators, and led through a thick vault door into what looked like typical New York basement storage. There were laundry carts and luggage racks, plastic bins and metal lockers, except these carts, bins, and lockers were filled with gold. In all, they contained 960,000 gold bars weighing a cumulative 12,000 tons. The guide said the gold was worth \$120 billion at the "official price" of \$42 an ounce, but the